EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Lal-lo, the former Ciudad de Nueva Segovia, is strategically situated at the center of the Province of Cagayan. As the seat of both the civil and ecclesiastical government during the Spanish Regime, this town is rich in historical heritage and endowed with a lot of tourist attractions. It hosts a good number of caves, war garrisons, ruins of Spanish cultures, the shell midden site, beautiful and clean rural bodies of water and others. Its economic potential is further boosted by the presence of Magapit Suspension Bridge, which is the gateway to the Ilocos Region and the air facility of the Cagayan Economic Zone, the Lal-lo International Airport, as well as the establishment of the Cagayan Sub Capitol at Barangay Bangag.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Lal-lo for the year 2025 and was aimed at determining whether management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	1,338,002,678.56	1,384,455,743.39	(46,453,064.83)
Liabilities	513,400,567.40	560,035,536.88	(46,634,969.48)
Government Equity	824,602,111.16	824,420,206.51	(181,904.65)
Financial Performance			
Income	459,266,139.43	392,532,447.18	66,733,692.25
Expenses	430,119,457.63	362,039,777.54	68,079,680.09
Net Income	29,146,681.80	30,492,669.64	(1,345,987.84)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of One (1) story - four (4) Classrooms and with Provision of Rainwater Collector, School Furniture, and Water System	13,967,113.93
Center Field Landscape of LGU Compound Road	2,499,270.01
Construction of Water System Distribution Line at San Mariano	1,795,138.95
Construction of Motor Pool at LGU Compound	6,391,900.13
Concreting of Farm to Market Road at Dagupan	4,994,654.96
Construction of Level II Water System at Catugan	3,994,284.80
Construction of Level II Water System	3,994,284.80
Concreting of Tucalana Barangay Road	6,991,846.02
Construction of Evacuation Center at Abagao	2,494,346.92
Improvement of Multi-Purpose Building and Gym at Sta. Maria	1,994,368.76
Concreting of Naguilian Barangay Road	997,233.76
Total	**50,114,443.04**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Lal-lo, Cagayan for the year-ended December 31, 2025 due to: (a) understated depreciation expense and accumulated depreciation of the Road Network account amounting to ₱12,704,366.49 and ₱6,988,683.92, respectively; (b) delayed recording of book reconciling items overstating the balance of Cash in Bank – Local Currency, Current Account totaling to ₱10,056,063.15; and (c) unreconciled balances of the reciprocal accounts Due to Other Funds and Due from Other Funds amounting to ₱4,205,258.24.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel as at December 31, 2025 resulted in the understatement of Leave Benefits Payable and Terminal Leave Benefits and the overstatement of Government Equity, contrary to International Public Sector Accounting Standards (IPSAS) 1, IPSAS 39 and COA Circular No. 2024-009 dated July 16, 2024, thereby, affecting the fair presentation of the Financial Statements.

We recommended that the Management undertake the following:

a. The Human Resource Management Officer (HRMO)-Designate to submit to the Municipal Accountant a year-end report of the earned and unused leave credits of all permanent, casual, and elective government personnel of the Municipality;

b. The Municipal Budget Officer to provide for the inclusion, in the Municipality's Annual Budget of the amounts necessary to cover the payment of earned and unused leave credits of all permanent, casual, and elective government employees, and to ensure the proper authorization and appropriation thereof; and

c. The Municipal Accountant to recognize and accrue, at year-end, the earned and unused leave credits based on the report submitted by the Human Resources Office to ensure that the Leave Benefits Payable and Government Equity accounts are fairly stated and that leave benefits transactions are recorded in the proper accounting period, in accordance with COA Circular No. 2015-009 dated December 1, 2015.

2. Accounts Payable totaling to ₱1,788,798.31 has been outstanding for two (2) years or more, contrary to Section 98 of Presidential Decree (PD) No. 1445 and Section 27 of the IPSAS 1, thereby, rendering the account unreliable and affecting the fair presentation of the financial statements.

   We recommended that the Management, through the Municipal Accountant:

   a. Conduct a thorough review and reconciliation of Accounts Payable outstanding for two (2) years or more to determine their validity and existence in accordance with Section 98 of PD No. 1445;

   b. Verify whether the requisites for reversion are present and if warranted, initiate the reversion of unliquidated balances to the appropriate account;

   c. Correct prior erroneous accounting entries, particularly those where payments were debited to expense accounts instead of Accounts Payable, to ensure proper derecognition of settled obligations; and

   d. Ensure proper disclosure in the Notes to Financial Statements of any adjustments, reversions, or significant long-outstanding balances.

3. The Guaranty/Security Deposits Payable balance totaling ₱5,813,773.81 as at December 31, 2025 was unreliable due to (a) the inclusion of negative balances of P1,536,951.20 and unreleased guaranty/security deposits aged

more than two (2) years, which is not in accordance with IPSAS 1 and the 2016 Revised Implementing Rules and Regulations (RIRR) of Republic Act (RA) No. 9184, thus, the account may not be fairly presented in the Financial Statements.

We recommended that Management:

a. Task the Accounting Office to retrieve old general ledgers, subsidiary ledgers, and source documents to establish the origin and nature of the carry-forward balances;

b. Reconcile the negative balances and make the necessary adjustments to reflect the correct account balance. Moreover, maintain an accurate and updated subsidiary ledger for each contractor/supplier from their respective inception dates to facilitate tracking of records;

c. Upon establishment of records, proactively reach out to the concerned suppliers and contractors to inform them of their outstanding claims from the Municipality, if free from defects on the required withholding period;

d. Direct the concerned suppliers and contractors to submit a formal letter of request supported by the necessary documentation to facilitate the release of their retention money. Alternatively, should they choose not to pursue their claims, the Municipality must secure a formal waiver executed in favor of the Municipality to provide a legal basis for the reversion of the payable; and

e. Revert to the unappropriated surplus all balances that have remained outstanding for two (2) years or more, for which no actual claim has been filed and no supporting records can be established, pursuant to Section 98 of PD No. 1445.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	25,130,000.00	-	-	25,130,000.00	-
Current Year	-	-	-	-	-
Total	**25,130,000.00**	**-**	**-**	**25,130,000.00**	**-**
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	-	-	-	-	-

Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-seven (27) audit recommendations in the CY 2024 Annual Audit Report, twenty-three (23) were fully implemented and four (4) were not implemented as at year-end.